India’s Strategic Turn to Free Trade Agreements

For Prelims: Free Trade Agreements, World Trade Organization, Economic Cooperation and Trade Agreement, Comprehensive Economic Partnership Agreement

For Mains: India’s evolving trade policy in a multipolar world, Role of FTAs in India’s foreign policy and geopolitics

Source:IE

Why in News?

India is currently accelerating its pursuit of **Free Trade Agreements (FTAs)** with a wide range of countries like **New Zealand, Russia and Oman, even though past FTAs delivered modest trade gains.**

- This shows a shift in focus, with FTAs now used more to secure strategic partnerships and geopolitical interests than to boost trade alone.

Summary

- India’s renewed push for FTAs reflects a move away from pure trade liberalisation towards using FTAs as tools for geopolitical alignment, supply-chain security, and strategic partnerships in a weakening multilateral order.
- Past FTAs delivered modest export gains while widening trade deficits and stressing domestic sectors, highlighting the need for better-balanced, services-focused agreements with strong safeguards.

What are the Reasons Behind India’s Renewed Emphasis on FTAs?

- **Strategic Realignment in Global Geopolitics:** The global shift from a unipolar to a **multipolar order** (e.g., US-China rivalry, weakening of the **World Trade Organization (WTO)**) has made **bilateral and regional FTAs a tool of strategic engagement**.
    - India is leveraging FTAs to **strengthen political alignments**, especially in the Indo-Pacific, West Asia, and Africa.
    - In a volatile world order, FTAs act as **“political safety nets”**, ensuring closer bilateral ties and strategic insurance (e.g., **India-Australia Economic Cooperation and Trade Agreement (ECTA)**, **India-UAE Comprehensive Economic Partnership Agreement (CEPA)**).
- **Decline of Multilateralism:** The **stagnation of WTO negotiations** (**Doha Round**) and protectionist trends globally have reduced the effectiveness of multilateral trade forums.
    - FTAs provide a platform to pursue **WTO-plus commitments**, especially in areas like services, digital trade, and investment.

    - The **India-EFTA TEPA exemplifies this shift binding commitment of USD 100 billion in FDI over 15 years.**
- **Diversification of Economic and Trade Partners**: FTAs help **reduce overdependence** on a few markets (e.g.**, US, EU, China).**
    - They enable India to **access new markets**, diversify supply chains, and secure critical resources (e.g., energy, minerals).
    - Also, FTAs are no longer just about market access, they are strategic tools to operationalize the **"China Plus One" policy** and secure upstream supply chains.
- **Unlocking Untapped Potential in Services and Investment:** India has a **comparative advantage in services** (IT, healthcare, education), but past FTAs underutilised this potential.
    - New FTAs (**e.g., UAE-India CEPA**) focus more on **services, fintech, and investment flows**.
- **Strengthening Domestic Capabilities and Value Chain:** FTAs are aligned with initiatives like **'Make in India' and Production Linked Incentive schemes**, aiming to integrate Indian manufacturing into global value chains. Strategic FTAs can help attract **Foreign Direct Investment (FDI) and technology transfers**.
- **Correcting Past Imbalances:** Learning from asymmetric gains in earlier FTAs (e.g., ASEAN), India now seeks **better-balanced, services-focused agreements**, ensuring domestic industry interests are protected.
    - For example, India's export share to **ASEAN increased only marginally from 10.2% to 10.8%,** while it declined from **2.1% to 1.9% with Japan**, and from **1.9% to 1.4% with South Korea**, based on **five-year averages before and after the respective FTAs.**
    - This trend suggests that previous FTAs have mostly codified existing trade flows rather than generating significant new trade.

Free Trade Agreements

- **About:** A **Free Trade Agreement (FTA)** is an arrangement between two or more countries or regional blocs to **reduce or eliminate trade barriers** through mutual negotiations to promote trade.
- **Key Coverage under FTAs:** Customs duties (tariffs), Rules of Origin, Non-Tariff Measures (TBT), Sanitary and Phytosanitary (SPS) measures, and trade remedies.
    - FTAs can cover trade in goods **(such as agricultural or industrial products)** or trade in services (**such as banking, construction, trading etc**).
    - FTAs can also cover other areas such as **intellectual property rights (IPRs)**, investment, government procurement and competition policy.
- **Types of Trade Agreements:**
    - **Bilateral:** Between two countries to expand trade opportunities.
    - **Plurilateral:** Among multiple countries, regionally or otherwise.
    - **Multilateral:** Typically under the WTO framework, setting global trade rules.
- **India and FTAs:** According to the WTO, India has signed **20 regional or free trade agreements,** in addition to the recent **India–UK Comprehensive Economic and Trade Agreement (CETA)** and the **India-European Free Trade Association Trade and Economic Partnership Agreement (TEPA).**
    - India is currently negotiating FTAs with the US, EU, Canada, and the Southern African Customs Union.

What are the Concerns Accompany India's Expanding Network of in Free Trade Agreements?

- **Trade Deficits and Asymmetric Gains:** Many of India's earlier FTAs have not led to a **strong export boost**. Imports from partner countries often rose faster than **exports, widening trade deficits.**
    - **Example**: Between FY 2009 and FY 2023, **imports from ASEAN to India grew by 234.4% while exports from India rose only by 130.4% despite FTA.**

        - Indian exporters often fail to gain reciprocal market access.
- **Non-Tariff Barriers (NTBs):** Developed economies impose stringent standards (e.g., **IPR, sanitary measures**) that dilute tariff benefits. India–EU FTA has stalled over **data localisation and IPR issues**.
    - Furthermore, India's **FTA utilization rate remains low at just 25%**, compared to 70–80% in developed countries.
    - FTAs with the EU and the UK involve stringent environmental and labour compliance requirements, which India is cautious about adopting and risk India's exclusion from emerging "green" trade regimes.
- **Harm to Domestic Sectors:** MSMEs, farmers, and labour-intensive sectors struggle to compete with cheaper imports. Tariff cuts can hurt sectors that are not yet globally competitive.
    - FTAs often commit to **zero-duty imports on finished goods** while domestic tariffs on raw materials remain high (to protect upstream industries), creating a structural disadvantage for Indian manufacturers.
        - This **"Inverted Duty Structure"** incentivizes trading (importing finished goods) over manufacturing, directly **contradicting the Atmanirbhar Bharat (Make in India) vision.**
        - **Example:** Indian rubber farmers hurt by cheaper imports under the ASEAN FTA.
    - Opening markets in dairy, plantation crops, or cereals raises concerns over farmer livelihoods.
- **Risk of Import Surges via Third Countries:** Goods from non-FTA countries may enter India through partner nations by **exploiting rules of origin.** This weakens domestic manufacturing and undermines the spirit of FTAs.

What Should be India's Policy Approach to Enhance the Effectiveness of Its FTA Strategy?

- **Strengthen Domestic Competitiveness:** Invest in **R&D, infrastructure, skill development**, and MSME support to prepare industries for global competition.
- **Focus on WTO-Plus Areas:** Prioritise sectors like **digital trade, green energy, and services**, especially in future FTAs with developed economies.
- **Incorporate Balanced Safeguards:** Ensure **strong Rules of Origin**, safeguard duties, and anti-dumping provisions to prevent misuse by third countries.
- **Institutional Reforms and Inter-Ministerial Coordination:** Enhance cooperation between the **MEA, Commerce Ministry, and NITI Aayog** to align strategic and economic interests.
- **Improve Dispute Resolution Frameworks:** Include **binding timelines and independent panels** in FTAs for swift resolution of trade disputes.
- **Monitor and Review Existing FTAs:** Establish mechanisms for **periodic impact assessment**, public consultation, and course correction.
- **Promote Inclusive and Sustainable Trade:** Integrate **labour and environmental safeguards** without undermining domestic flexibility.

Conclusion

India's renewed emphasis on FTAs is **less about expanding trade volumes and more about navigating a fragmented global order**. As multilateralism weakens and geopolitics dominates economics, FTAs have evolved into tools of **strategic alignment, diplomatic insurance, and supply-chain security**. In this emerging order, **strategic logic—rather than pure economic efficiency—will increasingly drive India's trade policy**.

Drishti Mains Question:

India's recent surge in Free Trade Agreements reflects a strategic shift from market access to geopolitical alignment. Discuss.

Frequently Asked Questions (FAQs)

1.Why is India signing more FTAs despite limited gains from earlier ones?
India now views FTAs as tools for strategic alignment, supply-chain resilience, and geopolitical partnerships in a multipolar world.

2. What major problem has India faced under past FTAs like ASEAN?
Imports grew faster than exports, widening trade deficits, with ASEAN imports rising from USD 8 bn (FY13) to USD 44 bn (FY23).

3. How do FTAs affect India's domestic sectors?
MSMEs and farmers face pressure from cheaper imports, especially in sectors like rubber, dairy, and plantation crops.

4. What are WTO-plus issues in new FTAs?
They include services, digital trade, investment, IPR, labour, and environmental standards beyond WTO commitments.

5. What safeguards can improve India's FTA outcomes?
Strong Rules of Origin, safeguard duties, periodic reviews, and better dispute-resolution mechanisms.

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Prelims

Q. Consider the following countries: (2018)

1. Australia
2. Canada
3. China
4. India
5. Japan
6. USA

Which of the above are among the 'free-trade partners' of ASEAN?

(a) 1, 2, 4 and 5

(b) 3, 4, 5 and 6

(c) 1, 3, 4 and 5

(d) 2, 3, 4 and 6

Ans: (c)

Mains

Q. How would the recent phenomena of protectionism and currency manipulations in world trade affect macroeconomic stability of India? **(2018)**

Mercy Petition

Source: TH

Why in News?

The **President of India** has rejected the **mercy petition of a convict** found guilty of kidnapping, raping, and murdering a two-year-old girl in Maharashtra in 2012, reaffirming the constitutional process governing capital punishment.

Summary

- The President's rejection brings focus on **mercy petitions under Articles 72 and 161**, the **BNSS 2023 time-bound framework**, limited judicial review, and the humanitarian rationale of clemency as a safeguard against miscarriage of justice while upholding **Article 21**.

What is Mercy Petition?

- **About:** A Mercy Petition is a constitutional remedy available to convicts, especially in **death sentence cases**, seeking pardon, commutation, remission, or suspension of sentence.
- **Constitutional Basis:** The power to grant pardon, commutation, remission, or suspension of sentences is vested in the **President under Article 72** and the **Governor under Article 161 of the Constitution.**
    - The President's pardoning power is broader than the Governor's power, as it **extends to court-martial cases**, while the Governor's power is limited to offences under **State laws and does not apply to military court sentences**.
- **Grounds for Filing:** A mercy petition may be filed on grounds such as **good conduct, mental health, age, medical condition, humanitarian factors, miscarriage of justice, or rehabilitation efforts.**
- **Legal Provisions:** Section 472(1) of the **Bharatiya Nagarik Suraksha Sanhita (BNSS), 2023** sets a time-bound process for mercy petitions.
    - A convict must file within 30 days of dismissal of appeals by the Supreme Court or confirmation of a death sentence by the High Court, while in cases with multiple convicts, petitions must be filed within 60 days.
- **Role of Governments:** Under BNSS, 2023 upon receiving a mercy petition, the Central Government seeks comments from the State Government, examines the case records, and makes its **recommendation to the President within 60 days**.
    - It may also obtain the trial judge's opinion and certified records. In cases with multiple convicts, petitions are decided together.
    - While **no time limit is set for the President's decision**, the Centre must communicate the President's order to the State Home Department and jail authorities within 48 hours.
- **Finality and Non-Justiciability:** Section 472(7) of the BNSS declares that the **President's decision on a mercy petition is final.**
    - Courts are barred from **questioning or reviewing the grounds of pardon or commutation**, reinforcing the **exclusive executive nature of clemency powers.**
- **Judicial Pronouncements:**
    - ***Maru Ram v. Union of India (1981):*** The Supreme Court clarified that these powers are to be exercised on the **aid and advice of the Council of Ministers,** making clemency an executive function rather than a personal discretion.
    - ***Kehar Singh v. Union of India (1988):*** The Supreme Court held that the President's pardoning power is independent of the judiciary but subject to **limited judicial review** to ensure **procedural fairness**, not to examine the merits of the decision.

Philosophical Basis of Pardoning Powers in India

- Pardoning powers recognise that the judicial system is **not infallible and provide a humane mechanism** to correct possible miscarriages of justice.
    - In 2012, **14 retired Supreme Court and High Court judges** urged the President to commute **9 death sentences to life imprisonment**, citing concerns over miscarriage of justice.
- It also aims to **maintain public trust in the justice system** while upholding the **right to life under Article 21** of the Constitution.

Drishti Mains Question:

Evaluate the significance of time-bound procedures for mercy petitions introduced under Bharatiya Nagarik Suraksha Sanhita (BNSS), 2023.

Frequently Asked Questions (FAQs)

1. What is a mercy petition in India?
A mercy petition is a constitutional remedy seeking pardon, commutation, remission, or suspension of sentence under Articles 72 and 161.

2. How does BNSS, 2023 change the mercy petition process?
BNSS introduces time limits for filing mercy petitions and prescribes a structured role for the Central and State Governments.

3. Who has wider pardoning powers—the President or the Governor?
The President has wider powers, including in court-martial and death sentence cases, unlike the Governor.

4. Can courts review the President's decision on mercy petitions?
Courts cannot examine the merits but may conduct limited judicial review to ensure procedural fairness.

UPSC Civil Services Examination, Previous Year Questions (PYQs)

Mains

Q. Instances of the President's delay in commuting death sentences has come under public debate as denial of justice. Should there be a time specified for the President to accept/reject such petitions? Analyse **(2014)**

ADB Development Financing to Support India

Source: PIB

The **Asian Development Bank (ADB)** has signed **5 loan agreements** with **India** to finance development projects focusing on **skilling**, **renewable energy**, healthcare, urban transport, and sustainable livelihoods.

- It includes a **USD 650 million loan** to support the **Pradhan Mantri Surya Ghar: Muft Bijli Yojana** to help **1 crore households** adopt **rooftop solar** by **2027**.

Asian Development Bank (ADB)

- **About: ADB**, founded in **1966**, is a **regional development bank** with a mission to foster a **prosperous, inclusive, resilient, and sustainable** Asia and the Pacific, while also striving to **eradicate extreme poverty** in the region.
    - The ADB also has an **official observer status** at the United Nations.
- **Functions: ADB** aids its **member countries and partners** by offering loans, technical assistance, grants, and equity investments to promote **social and economic** development.
    - Also, ADB provides **direct financial assistance** to approved **private sector projects**, financial institutions, and **private equity funds**.
- **Membership:** ADB, headquartered in **Manila, Philippines**, consists of **69 members**, of which 50 are from within **Asia** and the Pacific and **19 outside**.
    - As of December 2024, ADB's **5 largest** shareholders are **Japan and the United States** (each with 15.6% of total shares), the People's Republic of China (6.4%), **India** (6.3%), and Australia (5.8%).
- **ADB and India: India** is a **founding member** of **ADB** and is its **4th-largest shareholder**. The bank's **support** aligns with **India's goals** of **robust**, **climate-resilient**, and **inclusive growth.**

Read More: Asia Development Outlook Report 2024

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